

ORIGINAL

FEDERAL MARITIME COMMISSION

PETITION OF SINOTRANS
CONTAINER LINES CO., LTD.
(SINOLINES) FOR A FULL
EXEMPTION FROM THE FIRST
SENTENCE OF SECTION 9(C) OF THE
SHIPPING ACT OF 1984, AS
AMENDED.

Petition No. P6-03

Served: April 1, 2004

ORDER GRANTING PETITION

By petition filed August 11, 2003, Sinotrans Container Lines Co., Ltd. ("Sinolines" or "Petitioner") requested that the Federal Maritime Commission ("FMC" or "Commission") exempt it from the first sentence of section 9(c) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. app. § 1708. The requested exemption would enable Sinolines to reduce tariff rates immediately, rather than subject to the 30-day waiting period otherwise prescribed by section 9(c) of the Shipping Act.¹ Notice of the filing of the Petition was published in the Federal Register on August 19, 2003, and interested parties were given until September 5, 2003 to file comments. 68 Fed. Reg. 49776. Seven comments were filed.

¹ That provision reads, in relevant part: "Notwithstanding section 8(d) of this [Shipping] Act and except for service contracts, the rates, charges, classifications, rules, or regulations of controlled carriers may not, without special permission of the Commission, become effective sooner than the 30th day after the date of filing with the Commission." 46 U.S.C. app. § 1708(c).

On January 22, 2004, in light of information provided by the Maritime Administration and the Department of State, the Commission ordered the comment period re-opened until February 23, 2004 to allow all persons interested in the Petition a full and fair opportunity to comment. 69 Fed. Reg. 4158 (January 28, 2004). Eleven comments in response were filed in the extended comment period.

For the following reasons, and as set forth below, the Commission grants the Petition and exempts Sinolines from the otherwise applicable provision of the first sentence of section 9(c) of the Shipping Act, 46 U.S.C. app. § 1708(c), which prohibits Sinolines from reducing its tariff rates sooner than 30 days after the date of publication.

THE PETITION

Sinolines explains that, under section 8(d) of the Shipping Act, non-controlled carriers may reduce their tariff rates upon publication but controlled carriers,² subject to section 9(c) of the

² Section 3(8) of the Shipping Act defines "controlled carrier" as:

an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by the government under whose registry the vessels of the carrier operate; ownership or control by a government shall be deemed to exist with respect to any carrier if--

(A) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(continued...)

Shipping Act, may only decrease their tariff rates no sooner than 30 days after the date of publication or with special permission. Petition at 1. The requested relief, Sinolines asserts, would put it on equal footing with other carriers while maintaining the substantive rate standards applicable to controlled carriers. Id. The Petitioner seeks permission to reduce its tariff rates effective upon publication, regardless of whether those rates meet, exceed or are lower than the rates of a competitor. Id. at 1-2.

Sinolines states that granting this exemption increases competition, promotes commerce and is consistent with congressional intent, while maintaining the controlled carrier rate standards and Commission oversight required by the Controlled Carrier Act.³ Id. at 3. Sinolines asserts that the Petition meets the two criteria of section 16 of the Shipping Act, 46 U.S.C. app. § 1715 ("section 16") of not resulting in substantial reduction in competition or detriment to commerce. Id. at 2. Rather than reduce competition, Sinolines contends, the exemption will increase competition by allowing it to compete for time sensitive cargo which might otherwise be lost, and Sinolines will be able to reduce tariff rates to induce cargo, a common carrier practice. Id. The exemption, Sinolines states, will promote commerce as it will give shippers another carrier to compete for their business. Petition at 2; Affidavit of Li Xiaolong, General Manager of Sinolines ("Li Affidavit).

²(...continued)

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

46 U.S.C. app. § 1702(8).

³ Section 9 of the Shipping Act, 46 U.S.C. app. § 1708, is known popularly as "The Controlled Carrier Act."

Sinolines argues that the special permission alternative is impractical because it may take more than one day and because the filing fee may exceed the potential profit in a small shipment. Petition at 2. Because Sinolines operates under normal commercial considerations and is owned by a company whose shares are publicly traded and which has a large percentage of non-governmental shareholders, Sinolines asserts that it is expected to make a profit and therefore does not fall within the general concerns Congress had about controlled carriers. *Id.* at 3 (citing S. Rep. No. 61, 105th Cong., 1st Sess. 27 (1997)); Li Affidavit. The exemption, Sinolines states, will further section 2(4) of the Shipping Act, 46 U.S.C. app. § 1701(4), by promoting “the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace.” *Id.*

Sinolines points out that, if there were any misuse of the exemption, the Commission has the ultimate power to revoke any exemption under section 16. *Id.* Sinolines notes that its request is for relief identical to that sought by Chinese controlled carriers COSCO and China Shipping (Petition No. P3-99, Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act (“P3-99”) and Petition No. P4-03, Petition of China Shipping Container Lines Co., Ltd. for Permanent Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984 (“P4-03”)). *Id.*

COMMENTS

The Commission received seven comments in the original comment period in response to Sinolines’ Petition from: the American Institute for Shippers’ Associations, Inc. (“AISA”); Coaster Company of America; Expeditors International; Zen Continental Company, Inc.; Translink Shipping, Inc.; Vitasoy

International Holdings, Ltd.; and American President Lines, Ltd. (“APL”). Eleven further comments were filed in response to the extended comment period from: APL; Maersk Sealand (“MSL”); the Unaffiliated Shippers’ Association and UsofA.COM, LLC (“USA Inc.”); Shipping & Distribution Limited; Hecny Shipping Limited; LG Electronics Tianjin Appliances Co., Ltd.; Changzhou Shinco Digital Technology Co., Ltd.; Apex (Jiangsu) Digital Co.; Suzhou Samsung Electronics Co., Ltd.; McIlain Travelware Co., Ltd.; and Dynalink Systems Inc.

A. Shipper Comments

AISA, a trade association for shippers’ associations, maintains that the benefits of lower rates which would result from the ability of Sinolines to compete on tariff rates would benefit its members. AISA at 2. Granting the exemption, AISA holds, will allow the Petitioner to offer and compete on spot market rates which as a practical matter it cannot do now. *Id.* at 3.

Comments of shippers Coaster Company of America; Expeditors International; Zen Continental Company, Inc.; Translink Shipping, Inc.; Vitasoy International Holdings, Ltd.; Shipping & Distribution Limited; Hecny Shipping Limited; LG Electronics Tianjin Appliances Co., Ltd.; Changzhou Shinco Digital Technology Co., Ltd.; Apex (Jiangsu) Digital Co.; Suzhou Samsung Electronics Co., Ltd.; McIlain Travelware Co., Ltd.; and Dynalink Systems Inc. indicate those companies’ belief that they would seek offers for transportation from Sinolines if it were able to reduce its tariff rates without a 30-day delay.

B. Carrier Comments

Comments received from APL in the initial comment period in this proceeding assert that until it learns whether a

bilateral accord would eliminate its recent difficulties in obtaining certain licenses and permissions from the Government of China, it would be premature for the Commission to act on this Petition.

The Commission received comments in the re-opened period from APL and MSL. APL notes that the recently-concluded U.S.-China bilateral Maritime Agreement (“Agreement”) grants shipping companies and container transport service companies of each of the parties to that Agreement certain rights to conduct business in the territories of the other. Specifically, APL’s comments outline the status of its ability to engage in the activities outlined in that Agreement. APL asserts that a number of the applications it has made to the Chinese to extend existing business licenses to encompass authorities outlined in the Agreement, to convert liaison offices to branch offices, or to establish new branch offices in a number of Chinese cities, already have been granted.

APL is encouraged that the remaining applications will be granted in the near future. However, APL states that it has been informed by Chinese authorities that its requests for approval to perform vessel agency services and multimodal or combined transport activities and to own vehicles and other equipment necessary to its operations will not be acted upon until the Commission acts favorably on the three petitions of Chinese controlled carriers now before it. On that basis APL states that it does not object to the Commission granting the relief sought by Sinolines. MSL believes that the Commission “now has an adequate basis to grant section 16 exemptions sought” and accordingly supports the relief requested by Sinolines. MSL at 1.

C. Comments of the Executive Agencies

The Commission has incorporated into the record of this proceeding letters it received from the Maritime Administrator, William G. Schubert, and from the Under Secretary of State for Economic, Business and Agricultural Affairs, Alan Larson, reporting on the recently signed Agreement with China. In view of the progress made in the Agreement, both the Maritime Administrator and the Under Secretary urge the Commission to favorably consider the petitions of three Chinese controlled carriers currently under review by the Commission.⁴ The Maritime Administrator also urged U.S. carriers and shippers to support these petitions.

DISCUSSION

Section 16 provides that the Commission may exempt any activity of persons subject to the Shipping Act from any requirement of that Act, if it has found the exemption will not result in substantial reduction in competition or be detrimental to commerce.

1. Substantial Reduction in Competition

Sinelines' arguments regarding carrier competition appear to have merit. Sinelines' burden as petitioner is to establish that the exemption will not result in a substantial reduction in competition. Sinelines' goes further, however, and argues persuasively that, at least in one regard, the exemption it seeks will actually promote competition. Allowing it more flexibility to reduce its rates to match those of its competitors would seem to

⁴ In addition to the instant Petition, they are the petitions of COSCO and China Shipping, P3-99 and P4-03.

result in an instantaneous increase in competition among carriers, Sinolines contends. This position is amply supported by the shippers' comments on the Petition, which demonstrate that some shippers would use Sinolines, but do not because of the 30-day delay. Furthermore, these assertions are unopposed by any commenters. We also note that the Commission has never had occasion to act to prevent the implementation of any Sinolines tariff rate within the initial 30-day period on the basis that it may not be just and reasonable.

2. Detriment to Commerce

Sinolines' uncontested argument that the exemption will not be detrimental to commerce also has some validity. By allowing Petitioner to compete more effectively for time-sensitive cargo, shippers would be given more service options in a more competitive carrier market. Again, this point is well-supported by the comments of AISA and its shippers, and is unopposed.

Sinolines points out that the Commission will continue to have the ability to review or revoke this exemption, pursuant to its authority under section 16.⁵ We find that Sinolines' request is a narrowly-tailored, procedural exemption. Eliminating the 30-day requirement would not effect a major change in the current system of regulation of controlled carriers. While the Commission's substantive authority to review and suspend use of unreasonably low rates continues to provide important

⁵ Section 16 states, in pertinent part, "The Commission may attach conditions to any exemption and may, by order, revoke any exemption. No order or rule of exemption or revocation of exemption may be issued unless opportunity for hearing has been afforded interested persons and departments and agencies of the United States." 46 U.S.C. app. § 1715.

protections for the industry, the 30-day requirement of section 9(c) of the Shipping Act has declined in significance as the industry and the Commission's processes have evolved.

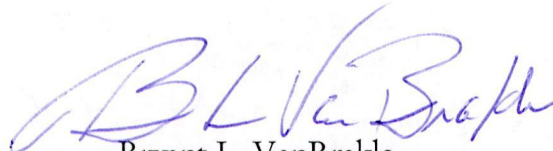
CONCLUSION

We find that Sinolines has met the two-part test of section 16. Therefore, the request for exemption is granted. The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16 of the Shipping Act, 46 U.S.C. app. § 1715.

THEREFORE, IT IS ORDERED, That Sinotrans Container Lines Co. , Ltd. (Sinolines) is hereby granted a limited exemption from the requirements of 46 U.S.C. app. § 1708(c) and may reduce its tariff rates effective upon publication pursuant to 46 C.F.R. Part 520; and

IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.



Bryant L. VanBrakle
Secretary